BLUEGRASS CAPITAL RESEARCH

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Healthcare | *Healthcare Technology*
5/29/2026

Veeva Systems

Artificial Fears, Real Fundamentals

Veeva Systems' shares have declined 40% in the past year amid a broader software selloff caused by concerns over AI disruption and its separation from Salesforce CRM, despite continued growth and upward earnings revisions. We believe the market is overlooking VEEV's competitive advantages, the long-term benefits of its transition to Vault CRM, and management's track record of execution. We believe VEEV presents favorable risk/reward with 9.7x upside/downside over the next 12-18 months; as such, **we recommend a BUY rating with a price target of $295.**

Thesis Point 1: Before the broader software selloff, VEEV historically traded at 46.8x LTM EV/EBITDA, compared to its current multiple of 20.6x, a 56.0% discount to its five-year average. While slower revenue growth warrants a discount to historical valuations, VEEV's FY'24-FY'26 revenue CAGR of 16.3% demonstrates continued double-digit growth. We believe the market is valuing VEEV alongside the broader software sector without fully accounting for its specialized healthcare data and established position within the biopharmaceutical industry. VEEV's competitive advantage is rooted in its proprietary healthcare data. Compass covers over 300M U.S. patients and 80B medical records, while CRM Pulse draws on more than 500M CRM interactions. As AI adoption accelerates, these data assets should become increasingly valuable as VEEV integrates AI agents into its existing applications. Management launched AI capabilities within Vault CRM in December 2025, had several live customers by March 2026, and plans further releases across clinical, regulatory, and quality applications throughout CY'26.

Additionally, VEEV benefits from the highly regulated and costly nature of clinical trials, which makes pharmaceutical companies reluctant to replace established systems and risk disrupting operations. FY'26 R&D and Quality subscription revenue grew 20.9% YoY, primarily through expanded usage among existing customers, while total subscription revenue increased 17.5% to $2.68B. VEEV's proprietary data, growing cross-product adoption, and high switching costs make its applications difficult to replace, even as AI lowers barriers to software development. We believe the market has underestimated these advantages, leaving room for multiple expansion as VEEV continues to demonstrate its value to pharmaceutical customers.

Thesis Point 2: VEEV's transition from Salesforce CRM to its own platform (Vault) offers an opportunity to improve profitability and expand its commercial business. By operating on its own infrastructure, VEEV can gradually eliminate royalty payments to Salesforce and gain greater control over product development. The transition also strengthens VEEV's integrated software and data ecosystem, allowing closer integration with Compass and CRM Pulse and creating additional cross-selling opportunities. Early adoption suggests the transition is progressing well. As of March 2026, over 125 customers were live on Vault CRM, including 2 of the top-20 biopharma companies, while commitments among the top 20 increased from 7 in August 2025 to 10. Management expects approximately 14 top-20 commitments as the transition progresses. Commercial solutions revenue grew 16.9% YoY in FY'26, despite increased competition from Salesforce. Management also expects CRM to decline from approximately 20% of total revenue to 10% by 2030, primarily as its other businesses grow, reducing VEEV's dependence on its CRM offering. We believe the separation will allow VEEV to improve CRM profitability while its faster-growing

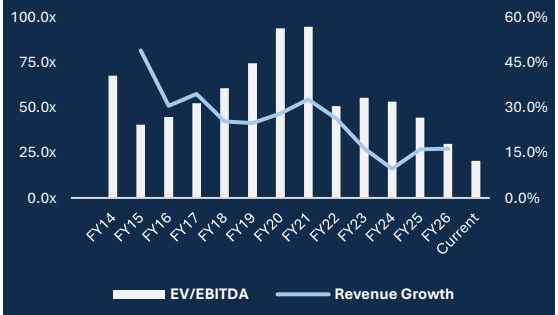
Veeva

TICKER:	$VEEV
RATING:	BUY
PRICE:	$167.00
PRICE TARGET:	$295.00
MARKET CAP:	$27.07bn
52-W RANGE:	$148.00 - $310.00
NTM P/E:	18.1x
IMPLIED UPSIDE:	77%

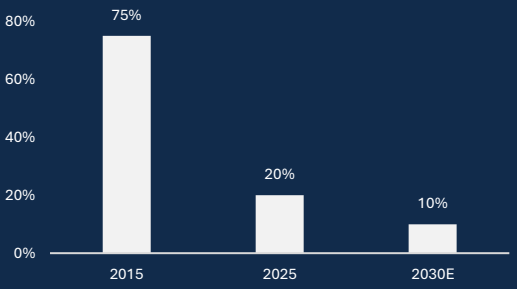
VEEV 1 Year Price History



EV/EBITDA and Revenue Growth



CRM as % of Revenues



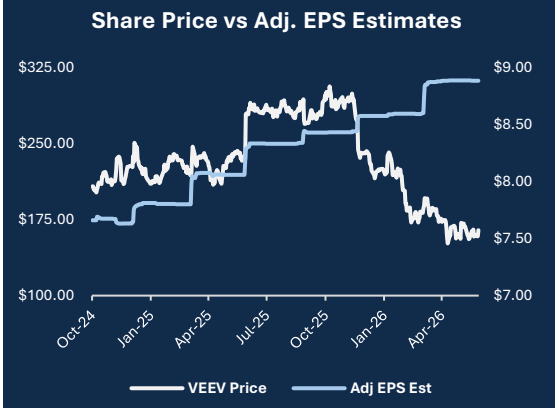
businesses account for an increasing share of revenue, supporting long-term earnings growth.

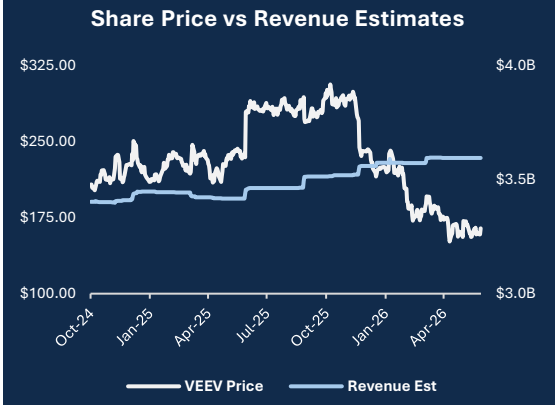
Thesis Point 3: VEEV's consistent history of meeting financial targets supports our confidence in management's long-term outlook. Since its IPO in 2013, VEEV has exceeded consensus revenue and EPS estimates in every quarter and has never missed a long-term revenue target. This track record lends credibility to its $6B FY'30 revenue objective. Our reverse DCF implies a 1.5% annual revenue growth through FY'32, even assuming adjusted EBIT margins contract to FY'24 levels. Meanwhile, upward FY'27 earnings and revenue revisions have coincided with a sharp decline in share price, highlighting the disconnect between valuation and operating performance. Continued double-digit revenue growth and reaffirmed FY'27 guidance over the next 12-18 months would support management's credibility and challenge the market's implied growth expectations. Management's compensation provides further incentive to deliver, with CEO Peter Gassner receiving 99.7% of his compensation through stock options carrying a $236.90 strike price and vesting through 2030. At the current share price, Gassner has a substantial financial incentive to drive share-price appreciation. We believe even modest progress toward these targets could justify a higher valuation than the market currently assigns.

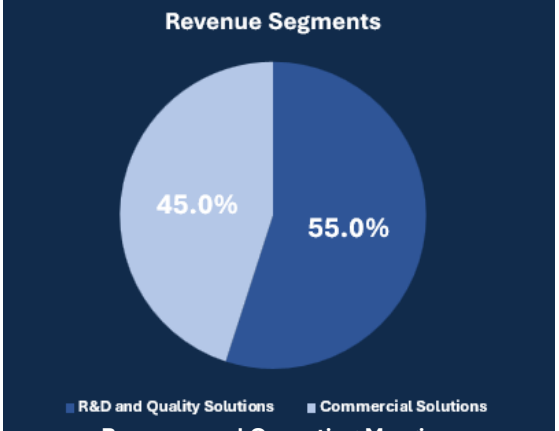
***Company Overview*:** Veeva Systems provides cloud-based software and data solutions to pharmaceutical and biotechnology companies throughout drug development and commercialization. The company reports two segments: R&D and Quality Solutions (55% of FY'26 revenue) and Commercial Solutions (45%). R&D and Quality Solutions offers applications for drug development, clinical research, regulatory compliance, and quality control. Commercial Solutions serves pharmaceutical sales and marketing teams through customer relationship management ("CRM") software, healthcare data, and analytics. VEEV sells directly to life sciences companies through multiyear subscription agreements, providing implementation services to configure and integrate its software into existing operations. VEEV's land-and-expand model drives growth through additional applications and broader deployment, with R&D & Quality adoption among Commercial customers increasing from 42.5% in FY'21 to 53.6% in FY'26.

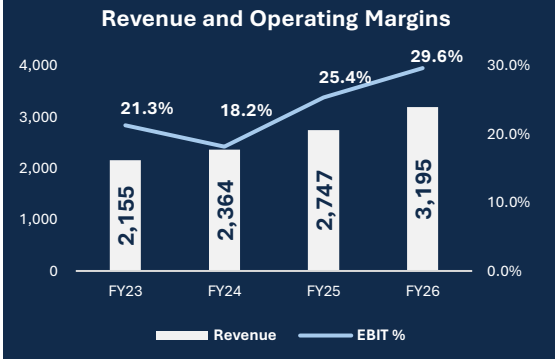
VEEV's revenue model consists primarily of software subscriptions (84% of FY'26 revenue) and professional services (16%), generating $3.20B in total revenue. Subscription revenue carries an 86.5% gross margin, compared to 18.0% for professional services. This mix contributed to a consolidated gross margin of 75.5% in FY'26, reflecting the favorable economics of delivering software to an established customer base. VEEV ended FY'26 with approximately $6.6B in cash and short-term investments and no outstanding debt.

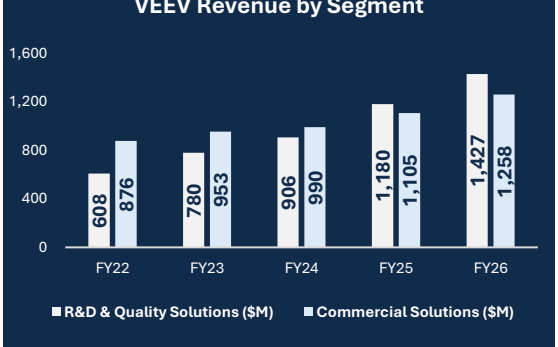
Industry Overview: The life sciences software industry benefits from pharmaceutical R&D spending, increasing adoption of digital workflows, and the need to manage clinical and regulatory processes. VEEV estimates its addressable market is $20B+, with opportunities across clinical research, quality management, and healthcare data. Regulatory requirements and specialized operations create significant barriers to entry, while lengthy implementations and high switching costs favor established providers with longstanding customer relationships. However, large pharmaceutical companies retain negotiating leverage when selecting platforms, making product functionality and integration capabilities important competitive differentiators.











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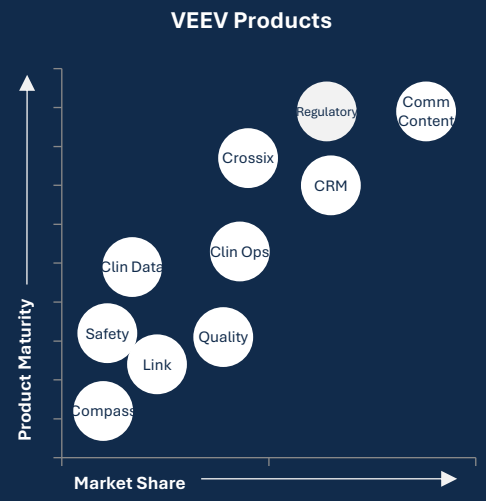
VEEV holds an estimated 80%+ share of the biopharma CRM market, where Salesforce (CRM) and IQVIA (IQV) have partnered to challenge its established position. IQVIA also competes in healthcare data and clinical research software, while Oracle (ORCL) and Dassault Systèmes' Medidata compete in clinical applications. Neither Salesforce nor IQVIA is a direct public comparable given Salesforce's diversified software portfolio and IQVIA's substantial contract research operations. VEEV's FY'26 revenue growth of 16.3% exceeded Salesforce's 10.0% and IQVIA's 5.9%, although differences in scale and business mix limit direct comparisons.

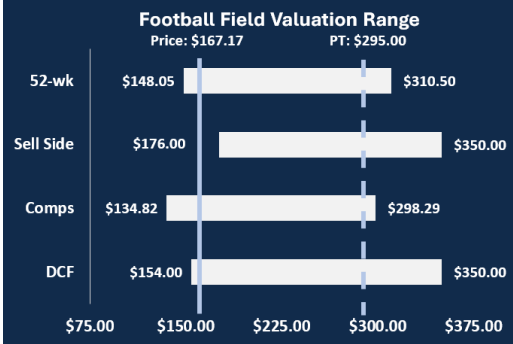
Concerns over AI disruption have weighed on software valuations in 2026, with the iShares Expanded Tech-Software Sector ETF (IGV) falling over 20.0% through April. VEEV's 60.6% Rule of 40 score stands well above the 40.0% benchmark, reflecting strong growth and cash generation. We believe investors are not sufficiently distinguishing between software vulnerable to AI substitution and specialized applications serving highly regulated industries. Although VEEV trades at a premium to Salesforce and IQVIA, neither provides a direct valuation comparison given differences in business mix, growth, and profitability. VEEV's stronger growth and Rule of 40 performance support a premium to these peers.

Risks: Salesforce presents a meaningful threat to VEEV's position in life sciences CRM as major pharmaceutical companies select platforms for the coming years. Its partnership with IQVIA could strengthen its competitive offering. If Salesforce wins more top-20 biopharma accounts than anticipated, lost customers and fewer new commitments could reduce Commercial Solutions revenue growth and limit multiple expansion. However, VEEV's established customer relationships and specialized healthcare data may limit customer losses. Additionally, VEEV's long-term revenue targets depend on continued growth in R&D and Quality Solutions, particularly through greater adoption among existing customers. If AI-driven alternatives prove more disruptive than anticipated, pharmaceutical companies could replace existing workflows with AI solutions, reducing demand for VEEV's applications and slowing revenue growth. This would challenge our thesis that the market has overstated AI-related risks and undermine expectations for a valuation recovery. However, VEEV's proprietary data, regulatory requirements, and high switching costs may limit AI-driven substitution.

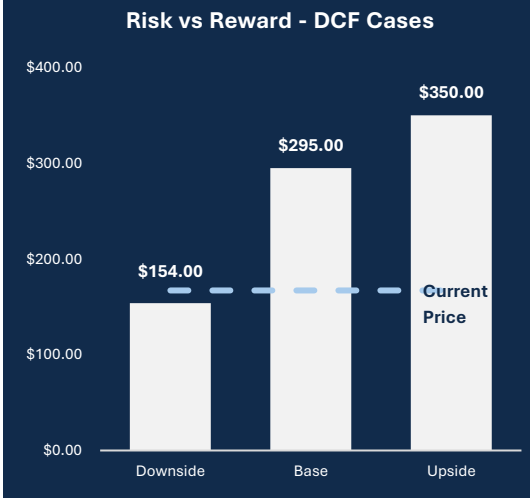
Catalysts: The upcoming Q1 FY'27 earnings release provides an opportunity for VEEV to demonstrate sustained double-digit subscription revenue growth and maintain or raise FY'27 guidance. Another strong quarter could ease concerns surrounding AI disruption and highlight the disconnect between operating performance and valuation. Additionally, VEEV has secured Vault CRM commitments from 10 of the top-20 biopharma companies, with management expecting approximately 14 as the transition progresses. Additional commitments and successful customer go-lives over the next 12-18 months would reinforce VEEV's competitive position and support a valuation recovery as uncertainty surrounding the CRM transition subsides.

Valuation: Our base case applies a 22.0x FY'32 exit EV/EBITDA multiple, above VEEV's current 20.6x LTM multiple but well below its 46.8x five-year average. We believe VEEV's strong profitability, continued execution on management's $6B revenue target, and successful Vault CRM transition support a gradual re-rating as investor confidence improves. Our projections assume EBIT margins normalize from 44.0% in FY'27 to 35.0% in FY'31 before recovering to 36.0% in FY'32, yielding a $295 price target. Refer to the appendix for upside and downside case assumptions.





Terminal Value	
2032 EBITDA	2,509
Multiple	22.0x
Terminal Value	55,187
PV of Terminal Value	34,446
PV of Projection Period	6,858
PV of Terminal Value	34,446
Implied TEV	**41,304**
(-) Debt	0
(+) Cash	6,561
Implied Equity Value	47,865
Basic Shares Outstanding	162
Implied Share Price	**$295.63**
Upside/Downside	76.8%



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DCF Analysis ($mm)	FY2026 1/31/2026	FY2027 1/31/2027	FY2028 1/31/2028	FY2029 1/31/2029	FY2030 1/31/2030	FY2031 1/31/2031	FY2032 1/31/2032
Revenue	3,195	3,600	4,090	4,647	5,280	6,000	6,817
Revenue Growth	*16.3%*	*12.7%*	*13.6%*	*13.6%*	*13.6%*	*13.6%*	*13.6%*
EBIT	1,420	1,584	1,708	1,836	1,967	2,100	2,454
EBIT Margin	*44.4%*	*44.0%*	*41.8%*	*39.5%*	*37.3%*	*35.0%*	*36.0%*
Tax Expense	286	364	393	422	452	483	564
Effective Tax Rate	*30.2%*	*23.0%*	*23.0%*	*23.0%*	*23.0%*	*23.0%*	*23.0%*
NOPAT	1,134	1,220	1,315	1,413	1,515	1,617	1,890
D&A	54	54	54	54	54	54	54
Capex	29	36	41	46	53	60	68
Δ Net Working Capital	42	(46)	(52)	(60)	(68)	(77)	(87)
UFCF	1,118	1,284	1,381	1,481	1,584	1,688	1,963
PV of FCF		837	1,241	1,215	1,186	1,154	1,225

Comparable Companies Analysis

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
IQVIA Holdings	$30,411	$44,653	22.6x	$16,632	$3,001
Salesforce, Inc	$156,511	$187,222	22.2x	$42,829	$12,895
Guidewire Software, Inc	$12,925	$12,711	70.3x	$1,342	$104
Veeva Systems (Nov. 2025)	$44,337	$37,790	52.7x	$3,080	$929
Veeva Systems (5/29/2026)	**$27,070**	**$21,987**	**29.4x**	**$3,319**	**$1,026**

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margin	EBIT Margin	1 Yr Rev Growth Rate LF
IQVIA Holdings	14.9x	33.0%	18.0%	14.1%	7.3%
Salesforce, Inc	14.5x	77.6%	30.1%	21.9%	11.0%
Guidewire Software, Inc	122.7x	63.8%	7.7%	6.8%	23.7%
Veeva Systems (Nov. 2025)	40.7x	75.7%	30.2%	28.9%	16.0%
Veeva Systems (5/29/2026)	**21x**	**75.0%**	**30.9%**	**29.7%**	**16.3%**
High	122.69x	77.6%	30.9%	29.7%	23.7%
75th Percentile	40.67x	75.7%	30.2%	28.9%	16.3%
Average	42.84x	65.0%	23.4%	20.3%	14.8%
Median	21.43x	75.0%	30.1%	21.9%	16.0%
25th Percentile	14.88x	63.8%	18.0%	14.1%	11.0%
Low	14.52x	33.0%	7.7%	6.8%	7.3%

Veeva Systems		
Implied Enterprise Value (25th Percentile)	$	15,268
Implied Enterprise Value (Median)	**$**	**21,987**
Implied Enterprise Value (75th Percentile)	$	41,735
Implied Share Price (25th Percentile)	$	134.82
Implied Share Price (Median)	**$**	**176.32**
Implied Share Price (75th Percentile)	$	298.29

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	5.5%
Beta	0.92
Risk Free Rate	4.5%
Cost of Equity	9.5%
Weighted Average Cost of Debt	5.0%
Tax Rate	23.0%
Cost of Debt	3.9%
Total Equity	$27,070
Total Debt	$0
Equity/Total Capitalization	100.0%
Debt/Total Capitalization	0.0%
WACC	9.5%

Downside Case: Applies a 15.0x EV/EBITDA multiple, assuming greater-than-expected AI cannibalization drives revenue growth down to 4.0% and EBIT margins to 32.0% by FY'32, reflecting weaker competitive positioning. These conservative assumptions yield a **$154 price target**, suggesting limited downside.

Upside Case: Applies a 26.0x EV/EBITDA multiple, assuming stronger Vault CRM adoption and additional top-20 biopharma commitments support sustained 14.0% revenue growth and EBIT margins of 37.0% by FY'32. This scenario yields a **$350 price target**.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.